

PSI Exam Prep: Practice of Real Estate

STUDY SHEET

Top Takeaways

Twelve percent of the questions on your licensing exam will relate to practice of real estate.

A. Anti-Discrimination

1. Federal Fair Housing Act General Principles and Exemptions

- Fair housing laws are designed to protect citizens from discrimination. States can't make laws that remove rights that federal laws grant to citizens, though they can pass more restrictive laws or add additional classes to those protected by federal law.
- The Office of Fair Housing and Equal Opportunity (FHEO), which is a part of the Department of Housing and Urban Development (HUD), enforces federal fair housing laws.
- Aggrieved parties, including licensees, can file fair housing complaints through the FHEO for up to one year following the time the alleged discrimination occurred. Licensees may not file on behalf of any other aggrieved party.
- A fair housing specialist reviews the complaint, determines if a violation exists, and, if so, assists the victim in filing an official complaint.
- Suspected fair housing violations may be investigated by a civil rights organization using a paired testing system to determine if discrimination has taken place.
- If found guilty of federal fair housing violations, licensees may face license suspension or revocation, lawsuits, and payment of compensatory damages.

2. Protected Classes Under the Federal Fair Housing Act

- Federal laws outline seven protected classes: race, color, religion, sex, disability, familial status, and national origin. Some courts have upheld that discrimination based on sexual identity, sexual orientation, etc., is protected under the prohibition of discrimination based on sex, but they are not technically protected classes on their own.
- The following activities are considered covered transactions related to anti-discrimination laws:
 - Selling or renting housing or residential lots
 - Providing real estate brokerage services
 - Performing appraisals or providing financing
 - Advertising housing for sale or rent
- It's illegal to perform any of the following acts if the action is based on discriminatory factors:
 - Refuse to sell or rent a house.
 - Offer different terms, conditions, or privileges when selling or renting a house.
 - Indicate a preference or limitation when advertising a home for sale or rent.
 - Coerce, threaten, intimidate, or interfere with a person's housing rights.
- The **Civil Rights Act of 1866** prohibits housing discrimination based on race or color. There are no exemptions under this law. It is never legal to discriminate on the basis of race. This act protects the rights of U.S. citizens to buy, sell, convey, inherit, and possess property. The act failed to have an immediate impact on discrimination because no agency was assigned to enforce it.
- **Title VIII** of the Civil Rights Act of 1968 is the Fair Housing Act. This act prohibits housing discrimination based on race, color, national origin, and religion.
- The **Housing and Community Development Act** of 1974 added sex to the list of protected classes.
- The **Equal Credit Opportunity Act (ECOA)** of 1974 requires lenders to give consumers equal access to credit. The act prohibits discrimination based on race, color, religion, national origin, sex, marital status, or age with respect to granting credit and requires lenders to respond to all loan applications within 30 days, giving reasons for any application rejections.
- The **Fair Housing Amendments Act** of 1988 extended fair housing protection to cover familial status and disability and provides remedies to victims of housing discrimination. It requires that owners make reasonable accommodations to property rules, policies, and practices to provide persons with disabilities appropriate access.
 - Familial status references protection given to persons under the age of 18 living with a parent or guardian. The coverage extends to pregnancy or the process of taking custody of a child/children.
- Some exemptions/exceptions to federal fair housing laws exist, though some states have laws disallowing some or all of these exemptions.
 - The **Housing for Older Persons Act** of 1995 provided exceptions for housing specifically designed for seniors. The exception allows those who live in senior developments in which at least 80% of the units are occupied by at least one person who is 55 or older to discriminate on the basis of age. They may not discriminate on the basis of any other protected class.
 - Owner-occupied buildings with no more than four units may be exempt (commonly known as the Mrs. Murphy exemption). The exemption is disallowed if the owner uses discriminatory advertising or if a licensee becomes involved in the transaction in any way. Similarly, roommates who share a rental unit may show preference when selecting a roommate, but not when advertising for one.

- Single-family housing sold or rented without a broker's assistance (if the owner doesn't own more than three properties at one time) is exempt. No real estate licensee may be involved, and no discriminatory advertising is permitted.
- Housing operated by religious organizations or private clubs that limit occupancy to members, provided the membership rules do not discriminate.
- Discrimination based on race is never permitted.

3. Prohibited Conduct Under the Federal Fair Housing Act

- **Redlining** is an illegal and discriminatory practice by lenders or insurance companies that refuse or limit business within specific geographic areas based on the demographics of the area rather than on the creditworthiness of the specific borrower, figuratively drawing a "red line" around an area to indicate unwillingness to lend or insure homes in that area. In another twist, the practice of charging non-white borrowers higher fees or interest rates may be referred to as **reverse redlining**.
- **Blockbusting** is the act of inducing property sales by threatening that the changing demographics or the entry of a minority resident will decrease values.
- **Steering** is the act of guiding prospective buyers/tenants to or away from a location based on their membership in a protected class.
 - Buyers and tenants are free to select properties based on demographics as long as licensees don't use demographics as a basis for showing properties. Landlords may refuse to rent to individuals on the basis of creditworthiness.

5. Fair Housing Advertising Rules

- **Puffery** : A statement that appears to a reasonable person as an exaggeration that wouldn't be relied on. Puffing is permissible (though perhaps not wise).
- **Misrepresentation** : A statement, photo, or ad that a reasonable buyer would consider to be reliable. Misrepresentations, even when unintentional, can lead to a voidable contract.
- Licensees must use caution to avoid misrepresentations in advertising.
- **Negligent misrepresentation** : A statement made by a person who should have known it to be false; becomes fraud when it's intentional.
- Omission of a material fact is considered intentional misrepresentation.
- The Federal Trade Commission Act protects consumers from unfair and deceptive advertising.
- The Federal Trade Commission (FTC) pays particular attention to ads that make health and safety claims.
 - Deceptive ads are those that are likely to mislead a reasonable consumer.
 - Unfair ads are those that advertise any business practice or product that's likely to cause injury.
 - The FTC determines the severity of penalties based on the violation's severity. Penalties range from a cease-and-desist order (which becomes effective immediately) to corrective advertising, civil penalties, consumer and other monetary remedies, and informational remedies.
- The primary advertising- and marketing-related technology issues are related to client security and confidentiality. Mistakes in these areas can expose clients, licensees, and brokers to potential harm and litigation.
 - When advertising real estate or real estate services online, licensees affiliated with a broker or brokerage firm must make their affiliation apparent.
 - Prevent potential loss of client data by never opening unknown emails or clicking unknown links.
 - Avoid real estate-targeted wire fraud by ensuring that clients never wire funds to unverified recipients.
 - Avoid posting information, photos, or descriptions in online ads that put you or your clients at risk. Criminals may use online information to target homes or individuals.
- Licensees are also responsible for adhering to all fair housing laws related to advertising.
- Advertising practices may not limit or attempt to limit access to properties or services on the basis of any protected class.
- Licensees should be careful not to discriminate in advertising. This includes not using exclusive or discriminatory language or images, as well as not advertising exclusively in a publication that is likely to exclude people based on any protected class.

6. Americans with Disabilities Act (ADA) Obligations Pertaining to Accessibility and Reasonable Accommodations

- Administered and enforced by HUD, Title II of the Americans with Disabilities Act of 1990 prohibits protected class-based discrimination in the delivery of commercial and public programs, services, and activities.
- Disability/handicap is a physical or mental impairment that substantially limits one or more of a person's major life activities.
- Housing providers may inquire as to the nature of a non-apparent disability if an applicant requests ADA-related accommodations or services.
- The ADA requires business owners to make a reasonable effort to resolve usage barriers for people with disabilities. For example, lifts or ramps should be in place for wheelchair accessibility.

B. Legislation and Regulations

1. Licensee's Status as Employees or Independent Contractors

- Licensees may operate as brokerage employees or as independent contractors. In either case, the licensees are acting on behalf and under the supervision of the broker. Their employment status doesn't change this fact.
- Most licensees practice real estate as independent contractors. Some firms, however, hire licensees as employees.
- As a brokerage firm employee, licensees are expected to adhere to the firm's rules regarding work hours, work processes, required training, etc.
- Firms compensate employee licensees based on time worked and must deduct federal and state income taxes from the licensee's paychecks. Firms are also responsible for unemployment and worker's compensation payments and may provide benefits to employees.
- Brokerage firms and the managing or supervising broker are responsible for proper supervision of unlicensed employees and must be particularly careful to not allow unlicensed assistants to perform tasks that require a license.
- Independent contractors (ICs) set their own hours, pay their own expenses, and determine how best to meet their own goals. Brokerage firms must supervise them related to licensing law, but they operate independently related to how they perform their tasks. Firms can require that licensees maintain membership in a REALTOR® association.
- Many licensees work as ICs so they can deduct business expenses on their income tax returns. This benefits the brokerage firm, too, because it's not required to pay workers compensation, Medicare, Social Security, or unemployment insurance for ICs.
- The Internal Revenue Service (IRS) regulates the independent contractor/brokerage firm relationship and requires a written agreement between the IC and the firm indicating that the firm will not treat the individual as an employee for federal tax purposes. The IRS will review a number of factors to determine whether or not a firm has misclassified any individual as an IC when that person has been treated as an employee.
- Licensees who choose independent contractor status must complete a W-9 for IRS reporting purposes.
- To avoid compromising a licensee's independent contractor status, brokerage firms should avoid:
 - Requiring that licensees work set hours, perform work at a specific location, or attend staff or training meetings
 - Providing 401k, health insurance, or other benefits
 - Compensating licensees based on time worked rather than sales output
 - Supplying tools and materials to the licensee

2. Antitrust Laws and Types of Violations, Fines, and Penalties

- Antitrust involves businesses that conspire to restrict competition or trade, resulting in diminished choices or higher prices (or both) for the consumer.
- The Sherman Act (1890), the Clayton Act (1914), and the Federal Trade Commission Act (1914) are federal antitrust laws that protect consumers from tie-in arrangements, group boycotting, price fixing, and market allocation.
- The **Sherman Act**'s primary purpose is to prevent monopolies that would cause a restraint of trade.
- The **Clayton Act** supports the Sherman Act by prohibiting mergers that would result in a monopoly.
- The FTC investigates antitrust violations and penalizes violators.
- **Price fixing** involves an agreement (or collusion) between competitors (brokers) to fix contract terms, services, or products at a specific price or level, such as suggesting there's a "standard" fee for broker compensation.
- **Market allocation** involves an agreement between brokers to divide up the market and then refrain from competing for business.
- **Tie-in arrangements** include providing a service dependent on the customer/client obtaining (or not obtaining) another service from a specific provider.
- **Group boycotting** is an agreement between two or more parties who conspire to not do business with a particular person or company.
- A **per se** antitrust violation is one in which the competing firms agreed to violate antitrust laws. A per se violation means that authorities don't need to make any additional inquiries about the violation to impose penalties. The fact that collusion existed is enough.
- Penalties for antitrust violations may be as much as \$1 million and 10 years in prison; for corporations, penalties may be as much as \$100 million.
- Under certain circumstances, penalties may be increased to a fine of twice the perpetrator's gain or the victim's loss.
- Brokerage firms found guilty of violations may be subject to court-ordered supervision for up to 10 years.

3. Do Not Call List Rule Compliance

- The federal Telephone Consumer Protection Act, overseen by the Federal Communications Commission, is intended to protect consumers from unwanted telephone solicitations.
- The primary impact on licensees comes from the Do Not Call Registry (DNC). The act prohibits calls to consumers before 8 a.m. or after 9 p.m., anonymous and robo calls, and calls to cell phones.
 - The DNC requires licensees to check the DNC registry at least every 31 days and drop any disconnected, registered, or reassigned phone numbers from their contact lists.
 - Licensees may call consumers with whom they have had an established business relationship for 18 months after the last interaction.
 - Those who violate the DNC may be subject to penalties in excess of \$40,000 per violation/separate call.
- Brokerage firm policies and procedures around the use of technology can help licensees avoid litigation. Brokerage firms found guilty of violations may be subject to court-ordered supervision for up to 10 years.

C. Duties and Responsibilities

1. Protection of Confidential Personal Information (Written, Verbal, or Electronic)

- Licensees and brokerage firms are responsible for ensuring the safety and confidentiality of client information and must take appropriate precautions to protect information from hackers and identity thieves.
- Firms can reduce the risk of compromising client data by reducing risk to the firm's computer systems. Standard security system policies and procedures should be in place, communicated, and enforced.
- Licensees and brokerage firms should identify the methods they use to protect client information.
- Confidential information that brokerage firms collect and/or store must be disposed of in a secure manner.

2. Duties When Handling Funds of Others in Transactions

- Real estate escrow accounts hold money on behalf of others. This includes buyers' earnest money deposits, rental security deposits, and any other funds being held in trust.
- The account in which this money is deposited must be separate from the broker's general operating account.
- Escrow agents oversee trust or escrow account money. Often the broker acts as the escrow agent; a title company representative or attorney may also serve as the escrow officer.
- Buyers offer earnest money to show they intend to follow through with a transaction.
- Escrow funds (earnest money) don't belong to the seller, but instead should be kept in an escrow/trust account until all contractual conditions have been met.
- Ideally, earnest money is credited to the purchase price of the property, but it may be used to compensate the seller if the buyer breaches the contract.
- Licensees and brokerage firms must follow all state regulations regarding handling trust moneys. Licensees must turn over trust moneys to the broker, who is ultimately responsible for the money.
- Earnest money funds must be deposited into the proper trust account after the seller accepts the purchase offer and according to the timeline established by the state.
- Earnest money funds are specific to the purchase contract for which they're written. Buyers must submit earnest money funds for each offer they submit.
- If the transaction closes, the escrow agent disburses escrow funds when all parties to the transaction, including the lender, are satisfied that all conditions have been met.
- If the transaction does not close, the escrow agent needs written directions from both parties indicating how to disburse the funds. In the absence of agreement, state laws dictate how funds should be handled.
- Commingling and conversion are two primary ways licensees can go wrong when handling earnest money.
 - **Commingling** is when trust (escrow) funds are mixed with personal or brokerage firm funds.
 - **Conversion** is using trust funds for anything other than their intended purpose.

3. Licensee Responsibility for Due Diligence in Real Estate Transactions

- Whether based on fiduciary or common law duties and responsibilities or on statutory duties imposed by a state, licensees must practice reasonable skill and care, which includes performing any required due diligence.
- Licensees should be aware of state disclosure laws. In some states, listing licensees must make a reasonable effort to discover material and adverse material facts. In these states, licensees may be required to disclose what they "know or should know" about a property. In other states, licensees and principals are only responsible for actual knowledge of material and adverse material facts.
- In non-full disclosure states (caveat emptor states), licensees should encourage buyers to perform their due diligence on a property. Sellers must honestly respond to property condition questions and disclose any items required by law, and the licensee is responsible for informing clients of these requirements.
- Due diligence and the duty of reasonable skill and care also mean that licensees shouldn't offer advice on real estate topics in which they have no expertise. Residential and commercial sales are separate areas of expertise. It also means that licensees should seek assistance when operating outside of their geographic area of expertise.
- Licensees should not attempt to provide any specialized service that's outside their area of competence unless they work with someone who is competent in that area or unless they disclose the facts of their experience with the area to the client.
- Licensees must avoid providing services that should be provided by other professionals, such as advice on how to remedy a structural defect or regarding income tax ramifications of sale or purchase.
- Licensees must avoid making guarantees regarding appreciation or return on investment.
- Acting outside the scope of a license by offering legal advice is the **unauthorized practice of law** and may result in you losing your license. This includes drafting contract language. Licensees should use forms and language prepared by attorneys. Such forms are generally available from the broker, the local REALTOR® association, or the state.
- Licensees should understand activities requiring a license vs. clerical tasks that don't require a license. A common real estate violation occurs when licensees delegate activities requiring a license to an unlicensed assistant.
 - Licensees can, for others and for compensation, list or offer to list, sell or offer to sell, buy or offer to buy, negotiate or offer to negotiate the sale, purchase, transfer, etc. of real property. The compensation can be in the form of a commission.
 - Unlicensed individuals can't be paid on a per-transaction basis (so they can't receive a commission like a licensee), and they can't perform any of the activities listed above. Unlicensed assistants can support these activities through clerical tasks.

For more information, consult your PSI candidate information bulletin.